

Major contributors to this report



K.U. Subbaiah
Managing Director, Tyco
Electronics Corporation
India



Pankaj Gulati
Executive Vice President
and Chief Operating
Officer, Continental
Device India Limited
(CDIL)



Raj Kapur
Chief Operating Officer,
JCT Electronics



Satish Gupta
Director, GSP Electronics



Vinod Sharma
Managing Director,
Deki Electronics



V. Srinivasan
President-Strategy &
Diversification, Hical
Technologies



capacitors, resistors, some electromechanical components but definitely no ICs or chips."

"Most of the manufacturing is restricted to those components which are difficult to import due to logistics. Bulky and large components like CRTs are manufactured in India. Other category that is manufactured is low-technology and custom-built items like wound components and wire harnesses because of specific custom-built requirements," adds Pankaj Gu-

Indian Electronic Components Market

Component	Value in million US\$	Indian manufacturers	Imports
Connectors	607	42%	58%
Cables	373	42%	58%
Resistors	81	20%	80%
Diodes	108	20%	80%
Colour picture tubes	789	80%	20%
Wound components	1413	30%	70%
PCBs	400	30%	70%
Switches	379	60%	40%
Speakers	214	90%	10%
Magnets	111	10%	90%
	4475	30%	41%

Source: ELCINA Directory of Indian Electronics Industry 2011

lati, executive vice president and chief operating officer, Continental Device India Limited (CDIL).

So basically when the industry moved from consumer electronics and started doing much better in telecom, industrial, lighting, medical and defence sectors, components didn't keep pace. Very few new investments have actually come into the components business in the last ten years in India. Investments are coming at the equipment level, not at the components level.

So what's so special about components manufacturing?

There are three or four things that make components manufacturing different from, let's say, assembly of a TV. First, it is a very capital-intensive business. To make 1000 million capacitors, you probably need Rs 500-1000 million of investment, depending on the type of the capacitor you are making. But to make 1000 million units of TVs, you probably need only 100 million of rupees. So the

first thing is that value addition is more in components—as high as 50-60 per cent—but at the same time, capital intensity is equally high. Also, very high skills are required.

The other factor is that components manufacturing is a long-gestation business. It's not a business where you make money in one or two years. That is, the breakeven point of a components unit is typically above 50-60 per cent: If you have invested in 100 units of capacity, unless you sell at least 50-60 per cent of that capacity you don't make any money. Also, it's a technology-intensive business. Not everybody has the technology at hand.

Third, though component manufacturers are adding more value, there are three disability factors in India that make their production more expensive: Cost of finance, cost of logistics and transactions, and cost of power. In India, an SME that makes components will borrow money from the bank at 13-14 per cent interest, while in China this cost is only 3-4 per cent. The total

“You make components in an ecosystem. Today, if I make a capacitor, the film is made somewhere else, metallisation is done somewhere else, cans are made by a third party, and so on. If these all are made at one place only, it will become cheaper—Vinod Sharma, managing director, Deki Electronics